

allocation to a sector indicates the authorities' estimate of poor activities in those industries. And that is a worry because some of these sectors are part of the five big guns that are expected to drive maximum capex within the scheme.

Fourth, the slow start has also meant lower number of jobs created. Against the projected 6 million new jobs over seven years, only some 300,000 jobs (or 5 per

cent) have been created between 2020 and early-2023 through the various PLIs, according to Parameswaran Iyer, former CEO of NITI Aayog.

Finally, it's one thing to be promised an incentive, and quite another to actually have the government's cheque roll into the bank. As per CRISIL MI&A's analysis, 56 per cent of the proposed incentive payout is "linked to stringent incentive

criteria". While in areas like mobile, telecom, white goods, medical devices and food processing, the criteria are "less stringent", for industries like specialty steel, solar PV and bulk drugs, the criteria are "highly stringent". These, say experts, may hamper the capex plans of companies that avail the scheme. Plus, the methodology of incentive calculation is a bone of contention between the government and the

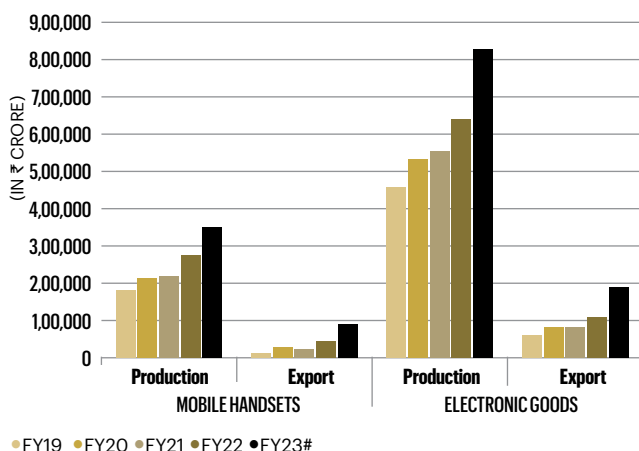
TOPSY-TURVY

Now let's take a deeper look at the challenges that different industries face in the PLI scheme.

Some mixed messages are emanating from PLI. For instance, since 2014, the government has aggressively pushed for a massive jump in local manufacturing of mobile handsets and electronics, but PLI has changed the game. "Under

STEADY GROWTH

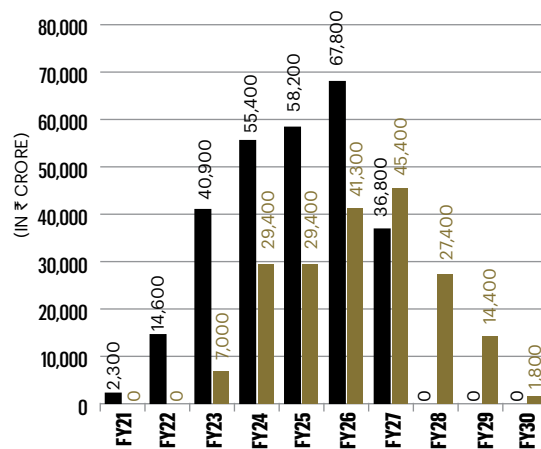
The production and export of mobiles and electronic goods recorded a steady rise in the past five years



#Estimated; **Source** Ministry of Electronics and Information Technology, India Cellular and Electronics Association

GOOD DAYS AHEAD

PLI activity is set to peak in FY26



• PLI capex • PLI incentive

Estimated timeline of investments and incentives under PLI
Source CRISIL Market Intelligence & Analytics

cent of the total) have been created between 2020 and early-2023 through the various PLIs, according to Parameswaran Iyer, former CEO of NITI Aayog.

Finally, it's one thing to be promised an incentive, and quite another to actually have the government's cheque roll into the bank. As per CRISIL MI&A's analysis, 56 per cent of the proposed incentive payout is "linked to stringent incentive

private sector, across industries. "If the operationalising of incentives based on the actual output can be done in a more transparent manner, that will be helpful," says Athar from PwC. "Doing it digitally will cast aside any doubts among manufacturers. After all, many of the companies have incorporated the PLI benefits in their capex plans, which may be jeopardised in case there are obstacles."

previous schemes (such as Phased Manufacturing Programme or PMP), increasing value addition through local component production was a key factor. In PLI, however, the incentives are based on increasing finished units, and this may lead to manufacturers deviating from building a local ecosystem of components [to local assembly instead]," says a senior executive from a leading global component